

Inventory Observation Memo

To: Engagement file
From: In-charge, XYZ & Co.
Re: Physical inventory observation — 2082-03-31

1. Locations and timing

Physical inventory count was conducted on 2082-03-31 at the factory premises (Bhaktapur), central warehouse (Balaju) and regional depot (Pokhara). The audit team attended all three locations.

2. Count procedures observed

The management count team comprised store officers and finance representatives. Pre-numbered count sheets were used. Test counts on a sample basis (50 SKUs per location, selected on a stratified random basis) showed reasonable accuracy, with the exceptions noted below.

3. Exceptions noted

Location	SKU	Book qty	Counted qty	Variance	Indicative value (NPR)
Bhaktapur	RM-014 Steel Rod 12mm	1,250	1,189	(61) units	(1,52,500)
Balaju	FG-302 Pipe 4-inch	642	658	+16 units	+88,000
Pokhara	FG-118 Sheet 1mm	98	84	(14) units	(56,000)

4. Slow-moving and obsolete

Items aged more than 365 days amount to NPR 38.4 lakh (4.7% of total inventory). Management is currently providing 25% against this category; NFRS 2 (NRV testing) suggests this may be insufficient — recommend management revisit the provisioning policy.

5. Cut-off

Last GRN (2082-03-31): GRN/2082/0184. First GRN of new year (2082-04-01): GRN/2082/0185. Cut-off appears clean; no goods in transit at year-end.

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